

None of the options to correct the situation were particularly palatable. The primary solution was to release a software update to Ethereum that would remove the funds from the hacker's account within The DAO, returning them to the rightful shareholders. Known as a "hard fork," Ethereum's blockchain would be slightly modified to allow for the investors in the project to have their funds returned. Stephen Tual, founder and COO of Slock.it, the main company behind The DAO, explained the fix as follows, "In summary, a hard fork will retrieve all stolen funds from the attacker. If you have purchased DAO tokens, you will be transferred to a smart contract where you can only retrieve funds. Since no money in The DAO was ever spent, nothing was lost."<sup>28</sup>

However, a hard fork would run counter to what many in the Bitcoin and Ethereum communities felt was the power of a decentralized ledger. Forcefully removing funds from an account violated the concept of immutability. This was exacerbated by the fact that a centralized set of players was making the decision. Many complained of moral hazard, and that this would set a precedent for the U.S. government or other powerful entities to come in someday and demand the same of Ethereum for their own interests. It was a tough decision for all involved, including Buterin, who while not directly on The DAO developer team, was an administrator.

With an understanding of both sides of the debate, Buterin supported the decision to hard fork because of his view that Ethereum was still in a development stage and that a lesson such as this would help shape the technology going forward. "I